# Topics in Macroeconomics: Reading-Group Paper Menu

Lukas Boehnert  PhD elective, 2026/27

Each student picks **one paper** to present or discuss in the weekly reading-group hour. Papers on the syllabus's required list are left out, except the Mendoza papers in Part II.1. For each topic, **seminal** papers are the ones the literature is built on; **recent** papers come from top journals and strong working papers, mostly from 2018 onwards, and favour papers that combine empirics with a model, as in the Week 1 example (Andreolli, Rickard & Surico, 2025).

★ = recommended pick  **[EA]** = European or euro-area data or relevance

## Part I.1: Local projections vs VARs

### Seminal

- Christiano, Eichenbaum & Evans (2005), "Nominal Rigidities and the Dynamic Effects of a Shock to Monetary Policy", *JPE* 113(1): 1–45
- Romer & Romer (2004), "A New Measure of Monetary Shocks: Derivation and Implications", *AER* 94(4): 1055–1084
- Gertler & Karadi (2015), "Monetary Policy Surprises, Credit Costs, and Economic Activity", *AEJ: Macro* 7(1): 44–76
- Ramey & Zubairy (2018), "Government Spending Multipliers in Good Times and in Bad", *JPE* 126(2): 850–901

### Recent

- Jarociński & Karadi (2020), "Deconstructing Monetary Policy Surprises: The Role of Information Shocks", *AEJ: Macro* 12(2): 1–43 **[EA]**
- Bauer & Swanson (2023), "A Reassessment of Monetary Policy Surprises and High-Frequency Identification", *NBER Macro Annual* 37
- Känzig (2021), "The Macroeconomic Effects of Oil Supply News: Evidence from OPEC Announcements", *AER* 111(4): 1092–1125
- ★ Känzig (2023), "The Unequal Economic Consequences of Carbon Pricing", *NBER WP* 31221 **[EA]**
- ★ Almgren, Gallegos, Kramer & Lima (2022), "Monetary Policy and Liquidity Constraints: Evidence from the Euro Area", *AEJ: Macro* 14(4): 309–340 **[EA]**
- Holm, Paul & Tischbirek (2021), "The Transmission of Monetary Policy under the Microscope", *JPE* 129(10): 2861–2904 **[EA]**
- McKay & Wolf (2023), "What Can Time-Series Regressions Tell Us About Policy Counterfactuals?", *Econometrica* 91(5): 1695–1725
- Li, Plagborg-Møller & Wolf (2024), "Local Projections vs. VARs: Lessons from Thousands of DGPs", *Journal of Econometrics*

## Part I.2: Shift-share instruments

### Seminal

- Blanchard & Katz (1992), "Regional Evolutions", *Brookings Papers on Economic Activity* 1992(1): 1–75
- Autor, Dorn & Hanson (2013), "The China Syndrome: Local Labor Market Effects of Import Competition in the United States", *AER* 103(6): 2121–2168
- Goldsmith-Pinkham, Sorkin & Swift (2020), "Bartik Instruments: What, When, Why, and How", *AER* 110(8): 2586–2624
- Adão, Kolesár & Morales (2019), "Shift-Share Designs: Theory and Inference", *QJE* 134(4): 1949–2010
- Dauth, Findeisen & Suedekum (2014), "The Rise of the East and the Far East: German Labor Markets and Trade Integration", *JEEA* 12(6): 1643–1675 **[EA]**

### Recent

- ★ Nakamura & Steinsson (2014), "Fiscal Stimulus in a Monetary Union: Evidence from US Regions", *AER* 104(3): 753–792
- Beraja, Hurst & Ospina (2019), "The Aggregate Implications of Regional Business Cycles", *Econometrica* 87(6): 1789–1833
- Guren, McKay, Nakamura & Steinsson (2021), "Housing Wealth Effects: The Long View", *REStud* 88(2): 669–707
- Chodorow-Reich, Nenov & Simsek (2021), "Stock Market Wealth and the Real Economy: A Local Labor Market Approach", *AER* 111(5): 1613–1657
- ★ Adão, Arkolakis & Esposito (2019), "General Equilibrium Effects in Space: Theory and Measurement", *NBER WP* 25544

## Part II.1: Financial crises and policy response

### Seminal

- Mendoza (2010), "Sudden Stops, Financial Crises, and Leverage", *AER* 100(5): 1941–1966
- Calvo (1998), "Capital Flows and Capital-Market Crises: The Simple Economics of Sudden Stops", *Journal of Applied Economics* 1(1): 35–54
- Kaminsky & Reinhart (1999), "The Twin Crises: The Causes of Banking and Balance-of-Payments Problems", *AER* 89(3): 473–500
- Arellano (2008), "Default Risk and Income Fluctuations in Emerging Economies", *AER* 98(3): 690–712
- Bianchi (2011), "Overborrowing and Systemic Externalities in the Business Cycle", *AER* 101(7): 3400–3426
- Schularick & Taylor (2012), "Credit Booms Gone Bust: Monetary Policy, Leverage Cycles, and Financial Crises, 1870–2008", *AER* 102(2): 1029–1061

### Recent

- Bianchi & Mendoza (2011), "Overborrowing, Financial Crises and 'Macro-prudential' Policy", *IMF WP* 11/24
- ★ Bianchi & Mendoza (2018), "Optimal Time-Consistent Macroprudential Policy", *JPE* 126(2): 588–634
- Reis (2013), "The Portuguese Slump and Crash and the Euro Crisis", *Brookings Papers on Economic Activity* 44(Spring): 143–210 **[EA]**
- Schmitt-Grohé & Uribe (2016), "Downward Nominal Wage Rigidity, Currency Pegs, and Involuntary Unemployment", *JPE* 124(5): 1466–1514 **[EA]**
- Martin & Philippon (2017), "Inspecting the Mechanism: Leverage and the Great Recession in the Eurozone", *AER* 107(7): 1904–1937 **[EA]**
- ★ Gopinath, Kalemli-Özcan, Karabarbounis & Villegas-Sanchez (2017), "Capital Allocation and Productivity in South Europe", *QJE* 132(4): 1915–1967 **[EA]**
- Bocola (2016), "The Pass-Through of Sovereign Risk", *JPE* 124(4): 879–926 **[EA]**
- Kalemli-Özcan, Laeven & Moreno (2022), "Debt Overhang, Rollover Risk, and Corporate Investment: Evidence from the European Crisis", *JEEA* **[EA]**
- Bianchi, Ottonello & Presno (2023), "Fiscal Stimulus under Sovereign Risk", *JPE* 131(9): 2328–2369 **[EA]**
- Müller & Verner (2024), "Credit Allocation and Macroeconomic Fluctuations", *REStud* 91(6): 3645–3676

## Part II.2: Monetary policy in open economies

### Seminal

- Mundell (1961), "A Theory of Optimum Currency Areas", *AER* 51(4): 657–665
- Dornbusch (1976), "Expectations and Exchange Rate Dynamics", *JPE* 84(6): 1161–1176
- Eichenbaum & Evans (1995), "Some Empirical Evidence on the Effects of Shocks to Monetary Policy on Exchange Rates", *QJE* 110(4): 975–1009
- Obstfeld & Rogoff (1995), "Exchange Rate Dynamics Redux", *JPE* 103(3): 624–660
- Gabaix & Maggiori (2015), "International Liquidity and Exchange Rate Dynamics", *QJE* 130(3): 1369–1420

### Recent

- Miranda-Agrippino & Rey (2020), "U.S. Monetary Policy and the Global Financial Cycle", *REStud* 87(6): 2754–2776
- Gopinath, Boz, Casas, Díez, Gourinchas & Plagborg-Møller (2020), "Dominant Currency Paradigm", *AER* 110(3): 677–719
- Itskhoki & Mukhin (2021), "Exchange Rate Disconnect in General Equilibrium", *JPE* 129(8): 2183–2232
- ★ Farhi & Werning (2017), "Fiscal Unions", *AER* 107(12): 3788–3834 **[EA]**

- ★ Corsetti, Duarte & Mann (2022), "One Money, Many Markets", *JEEA* 20(1): 513–548 **[EA]**
- Guo, Ottonello & Perez (2023), "Monetary Policy and Redistribution in Open Economies", *JPE Macroeconomics* 1(1): 191–241
- Auclert, Rognlie, Souchier & Straub (2021), "Exchange Rates and Monetary Policy with Heterogeneous Agents: Sizing up the Real Income Channel", *NBER WP* 28872
- de Ferra, Mitman & Romei (2020), "Household Heterogeneity and the Transmission of Foreign Shocks", *Journal of International Economics* 124: 103303
- Kekre & Lenel (2024), "The Flight to Safety and International Risk Sharing", *AER* 114(6): 1650–1691

## Part III.1: Misallocation and growth

### Seminal

- Buera, Kaboski & Shin (2011), "Finance and Development: A Tale of Two Sectors", *AER* 101(5): 1964–2002
- Midrigan & Xu (2014), "Finance and Misallocation: Evidence from Plant-Level Data", *AER* 104(2): 422–458
- Moll (2014), "Productivity Losses from Financial Frictions: Can Self-Financing Undo Capital Misallocation?", *AER* 104(10): 3186–3221
- Asker, Collard-Wexler & De Loecker (2014), "Dynamic Inputs and Resource (Mis)Allocation", *JPE* 122(5): 1013–1063

### Recent

- Garicano, Lelarge & Van Reenen (2016), "Firm Size Distortions and the Productivity Distribution: Evidence from France", *AER* 106(11): 3439–3479 **[EA]**
- ★ Dias, Robalo Marques & Richmond (2016), "Misallocation and Productivity in the Lead Up to the Eurozone Crisis", *Journal of Macroeconomics* 49: 46–70 **[EA]**
- Calligaris, Del Gatto, Hassan, Ottaviano & Schivardi (2018), "The Productivity Puzzle and Misallocation: An Italian Perspective", *Economic Policy* 33(96): 635–684 **[EA]**
- ★ Hsieh, Hurst, Jones & Klenow (2019), "The Allocation of Talent and U.S. Economic Growth", *Econometrica* 87(5): 1439–1474
- David & Venkateswaran (2019), "The Sources of Capital Misallocation", *AER* 109(7): 2531–2567
- Baqaee & Farhi (2020), "Productivity and Misallocation in General Equilibrium", *QJE* 135(1): 105–163
- Peters (2020), "Heterogeneous Markups, Growth, and Endogenous Misallocation", *Econometrica* 88(5): 2037–2073
- Adamopoulos, Brandt, Leight & Restuccia (2022), "Misallocation, Selection, and Productivity: A Quantitative Analysis with Panel Data from China", *Econometrica* 90(3): 1261–1282
- Bau & Matray (2023), "Misallocation and Capital Market Integration: Evidence From India", *Econometrica* 91(1): 67–106

## Part III.2: Introduction to spatial economics

### Seminal

- Roback (1982), "Wages, Rents, and the Quality of Life", *JPE* 90(6): 1257–1278
- Kline & Moretti (2014), "Local Economic Development, Agglomeration Economies, and the Big Push: 100 Years of Evidence from the Tennessee Valley Authority", *QJE* 129(1): 275–331
- ★ Ahlfeldt, Redding, Sturm & Wolf (2015), "The Economics of Density: Evidence from the Berlin Wall", *Econometrica* 83(6): 2127–2189 **[EA]**
- Donaldson & Hornbeck (2016), "Railroads and American Growth: A 'Market Access' Approach", *QJE* 131(2): 799–858
- Becker, Egger & von Ehrlich (2010), "Going NUTS: The Effect of EU Structural Funds on Regional Performance", *Journal of Public Economics* 94(9–10): 578–590 **[EA]**

### Recent

- Desmet, Nagy & Rossi-Hansberg (2018), "The Geography of Development", *JPE* 126(3): 903–983
- Monte, Redding & Rossi-Hansberg (2018), "Commuting, Migration, and Local Employment Elasticities", *AER* 108(12): 3855–3890
- Hsieh & Moretti (2019), "Housing Constraints and Spatial Misallocation", *AEJ: Macro* 11(2): 1–39
- Bryan & Morten (2019), "The Aggregate Productivity Effects of Internal Migration: Evidence from Indonesia", *JPE* 127(5): 2229–2268
- Fajgelbaum & Gaubert (2020), "Optimal Spatial Policies, Geography, and Sorting", *QJE* 135(2): 959–1036
- Ehrlich & Overman (2020), "Place-Based Policies and Spatial Disparities across European Cities", *JEP* 34(3): 128–149 **[EA]**
- Kleinman, Liu & Redding (2023), "Dynamic Spatial General Equilibrium", *Econometrica* 91(2): 385–424
- Bilal (2023), "The Geography of Unemployment", *QJE* 138(3): 1507–1576
- ★ Fan, Peters & Zilibotti (2023), "Growing Like India: The Unequal Effects of Service-Led Growth", *Econometrica* 91(4): 1457–1494
- Morten & Oliveira (2024), "The Effects of Roads on Trade and Migration: Evidence from a Planned Capital City", *AEJ: Applied* 16(2): 389–421